

CLAYTON UTZ

Undertaking to the Australian Competition and Consumer Commission

South Australian and Bundaberg Licences

Given under section 87B of the Trade Practices Act by:

Macquarie Media Holdings Limited

ABN 91 116 024 536

Regional Media No. 2 Pty Ltd

ACN 124 720 289

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Undertaking made at _____ on 17 October 2007

1. Person giving Undertaking

This Undertaking is given to the Commission under section 87B of the Act by Macquarie Media Holdings Limited ABN 91 116 024 536 ("**MMHL**") on behalf of itself and the Undertaking Parties and Regional Media No. 2 Pty Ltd ACN 124 720 289 ("**RM2**"), both of Level 7, No. 1 Martin Place, Sydney NSW 2000.

2. Background

- (a) The Macquarie Media Group ("**MMG**") is an investment fund owned by investors holding stapled securities in the following entities which are listed on the Australian Securities Exchange:
 - (i) Macquarie Media Trust ARSN 116 151 467 ("**MMT**");
 - (ii) MMHL; and
 - (iii) Macquarie Media International Limited ARBN 118 577 423 of 3rd Floor, Washington Mall I, Reid Street, Hamilton HM11, Bermuda ("**MMIL**").
- (b) Macquarie Media Management Limited ABN 16 115 524 019 of Level 7, No. 1 Martin Place, Sydney, New South Wales, 2000, Australia ("**MMML**") is the responsible entity of MMT and the manager of MMHL and MMIL.
- (c) Macquarie Media Group Pty Limited ACN 110 357 036 ("**MMGPL**") is a wholly owned Subsidiary of MMHL.
- (d) RM2 is a Subsidiary of Regional Media No. 1 Pty Ltd ACN 124 719 400 ("**RM1**"). The shares in RM1 are held by, or for the sole benefit of, MMML (in its capacity as the responsible entity of MMT) and MMIL.
- (e) Macquarie Regional Radioworks Pty Ltd ACN 109 243 110 ("**MRRW**") is a Subsidiary of MMHL. Certain members of the MRRW Group are holders of Commercial Radio Broadcasting Licences in Australia in Radio Licence Areas.
- (f) Southern Cross Broadcasting (Australia) Limited ("**Southern Cross**") is listed on the Australian Securities Exchange. Certain members of the Southern Cross Group are the holders of Commercial Radio Broadcasting Licences in a number of metropolitan Radio Licence Areas and Commercial Television Broadcasting Licences associated with a number of regional Radio Licence Areas.
- (g) RM2 proposes to acquire 100% of the issued shares of Southern Cross by way of a scheme of arrangement proposed by Southern Cross, as announced to the Australian Stock Exchange by MMG on 3 July 2007 ("**Preliminary Transaction**").
- (h) Star Broadcasting Network Pty Limited ("**SBN**") is an entity which is controlled by Fairfax and certain of its Subsidiaries. SBN and its Subsidiaries are holders of Commercial Radio Broadcasting Licences in a number of regional Radio Licence Areas (together the "**Rural Press Licensees**"). Subject to completion of the Preliminary Transaction, RM2 proposes to acquire 100% of the issued shares of SBN ("**Fairfax Acquisition**") and thereby acquire control of the 9 regional Commercial Radio Broadcasting Licences held by SBN and its Subsidiaries.

- (i) The Commission has made market inquiries and considered the information provided by the parties and other industry participants. The Commission's inquiries were aimed at assessing whether or not the Fairfax Acquisition was likely to substantially lessen competition in any substantial Australian market in contravention of section 50 of the Act.
- (j) The Commission has expressed the view that the Fairfax Acquisition will give rise to competition concerns in relation to the provision of advertising services in Bundaberg in regional Queensland and in Port Lincoln and Spencer Gulf in South Australia. In particular, following the transaction RM2 will acquire radio stations 4BU and HITZ FM in Bundaberg. The only other commercial radio station in Bundaberg is SEA FM which is already controlled by MMHL. Accordingly, following the transaction there will be a commercial radio monopoly in Bundaberg. In South Australia, after the Fairfax Transaction and the Preliminary Transaction, MMHL will control both commercial television operations and both commercial radio operations in Spencer Gulf and Port Lincoln.
- (k) Accordingly, MMHL and RM2 have agreed to offer this Undertaking. The purpose of this Undertaking is to ensure that a commercial radio station in Bundaberg is divested, and divested in such a way that its purchaser will be a viable and vigorous competitor in the provision of advertising services and content in Bundaberg. In particular, the radio station divested must be able to provide strong competition to the two commercial radio stations retained by MMHL in Bundaberg. In South Australia, the purpose of this Undertaking is to ensure that both commercial radio stations in Port Lincoln and Spencer Gulf are divested, and divested in such a way that the purchasers will be viable and vigorous competitors in the provision of advertising services and content in Port Lincoln and Spencer Gulf. In particular, the radio stations divested in South Australia must be able to provide strong competition to the television stations that will be controlled by MMHL.
- (l) The Undertaking Parties do not agree that the Transaction is likely to substantially lessen competition in any market including in Bundaberg, Port Lincoln or Spencer Gulf. However, in order to avoid delay and to address the Commission's competition concerns, the Undertaking Parties have, without admission, provided this Undertaking.
- (m) The Commission is of the view that, taking into account, and subject to the implementation, of this Undertaking, the specified concerns in respect of the Transaction will be addressed.

3. Definitions and interpretations

3.1 Definitions

The meanings of the terms used in this document are set out below.

- (a) **"ACMA"** means the Australian Communications and Media Authority.
- (b) **"Act"** means the *Trade Practices Act 1974* (Cth).
- (c) **"Appointment Date"** means the date on which a Divestiture Agent is appointed under clause 10.3 or 10.4.
- (d) **"Approved Purchaser"** has the meaning given in clause 9.3(d) of this Undertaking.

- (e) **"BSA"** means *Broadcasting Services Act 1992* (Cth).
- (f) **"Business Day"** means a day on which all banks are open generally in the Australian Capital Territory, but does not include a Saturday, Sunday or public holiday.
- (g) **"Commencement Date"** means the date on which this Undertaking comes into effect under clause 4.
- (h) **"Commercial Radio Broadcasting Licence"** has the meaning given to that term in section 6 of the BSA.
- (i) **"Commercial Television Broadcasting Licence"** has the meaning given to that term in section 6 of the BSA.
- (j) **"Commission"** means the Australian Competition and Consumer Commission.
- (k) **"Contracts"** means the contracts material to the Divestiture Business which includes, but is not limited to, those set out in Item 7 of clause 1.3 of Schedule 2 to the Undertaking.
- (l) **"Control Date"** means the date on which RM2, MMHL, Fairfax and Fairfax Media BCS Pty Limited complete the sale agreement in respect of the Fairfax Acquisition.
- (m) **"Corporations Act"** means the *Corporations Act 2001* (Cth).
- (n) **"Court"** has the meaning given to that term in section 58AA of the Corporations Act.
- (o) **"Divestiture Agent"** means a person appointed by the Undertaking Parties to effect the sale of the Unsold Business, and not objected to by the Commission, pursuant to clause 10.3.
- (p) **"Divestiture Agent Period"** means the period described in **Confidential Schedule 1** of this Undertaking.
- (q) **"Divestiture Businesses"** means:
 - (i) the business identified in Schedule 2 located in the Port Lincoln area;
 - (ii) the business identified in Schedule 2 located in the Spencer Gulf area;
and
 - (iii) the business identified in Schedule 2 located in the Bundaberg area.

"Divestiture Business" means any of the Divestiture Businesses identified above.
- (r) **"Divestiture Date"** means the date on which the Undertaking Parties no longer have any ownership or control of the Divestiture Businesses.
- (s) **"Divestiture Period"** means the period described in **Confidential Schedule 1** of this Undertaking.

- (t) **"Fairfax"** means Fairfax Media Limited.
- (u) **"Fairfax Acquisition"** has the meaning given in clause 2(h).
- (v) **"Independent Manager"** means Mr Les Riley (appointed on terms that have been approved by the Commission), or an independent person appointed by the Undertaking Parties and not objected to by the Commission to manage and operate the Divestiture Businesses.
- (w) **"Information Memorandum"** has the meaning given in clause 8.1.
- (x) **"Local Content Requirements"** means any conditions imposed by ACMA under section 43 of the BSA that have the effect of requiring the licensee of a regional Commercial Radio Broadcasting Licence to meet specified local content and local presence requirements including any condition that ACMA is required by section 43C of the BSA to ensure is in force from 1 January 2008 requiring the licensee of a regional Commercial Radio Broadcasting Licence to broadcast, during daytime hours each business day, at least the applicable number of hours of material of local significance.
- (y) **"MRRW Group"** means MRRW and its Subsidiaries.
- (z) **"Objection Period"** means either:
 - (i) the period which ends 10 Business Days (or in the case of clause 8.1(c)), 5 Business Days) after the Commission is provided with the information necessary for it to determine whether to object to a person or proposal put forward by the Undertaking Parties for consideration by the Commission in accordance with this Undertaking; or
 - (ii) such further period as is determined by the Commission to be necessary and notified to the Undertaking Parties prior to the expiry of the original objection period.
- (aa) **"Preliminary Transaction"** has the meaning given in clause 2(g) .
- (bb) **"Proposed Divestiture Agent"** means a person proposed by the Undertaking Parties to be the Divestiture Agent.
- (cc) **"Proposed Purchaser"** means a proposed purchaser of a Divestiture Business (or any of the Divestiture Businesses).
- (dd) **"Proposed Purchaser Notice"** means a notice in writing to the Commission that identifies the person(s) to whom the Undertaking Parties propose to divest the Divestiture Business (or any of the Divestiture Businesses, as the case may be), and sets out certain other information in relation to the Proposed Purchaser including the information referred to in clause 9.3 of this Undertaking.
- (ee) **"Radio Licence Area"** means a licence area for a Commercial Radio Broadcasting Licence.
- (ff) **"Related Body Corporate"** means in relation to a company, any other company which would be deemed to be related to the first named company by the operation of section 4A(5) of the Act.

- (gg) **"Sale and Purchase Agreement"** means the agreement or agreements in respect of the sale and purchase of a Divestiture Business (or any of the Divestiture Businesses, as the case may be).
- (hh) **"Southern Cross Group"** means Southern Cross and its Subsidiaries.
- (ii) **"Subsidiary"** has the meaning given to that term by section 46 of the Corporations Act.
- (jj) **"Undertaking Parties"** means MMHL, RM2 and each Subsidiary of MMHL and RM2. A reference to the Undertaking Parties is a reference to one or more of the Undertaking Parties as the context requires.
- (kk) **"Undertaking"** means all provisions of this document given by the Undertaking Parties to the Commission, including any Schedules to this document.
- (ll) **"Unsold Business"** has the meaning given in clause 10.1.

3.2 Interpretation

The following rules of interpretation apply unless the context requires otherwise:

- (a) The singular includes the plural and conversely.
- (b) A construction that would promote the purpose or object underlying the Undertaking (whether expressly stated or not) shall be preferred to a construction that would not promote that purpose or object.
- (c) Material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking.
- (d) In determining whether consideration should be given to any material in accordance with clause 3.2(c), or in considering any weight to be given to any such material, regard shall be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) the need to ensure that the result of the Undertaking is to address the Commission's competition concerns.
- (e) In performing their obligations under this Undertaking, the Undertaking Parties will do everything within their power to ensure that their performance of those obligations is done in a manner which is consistent with promoting the purpose and object of the Undertaking.

- (f) For the avoidance of doubt, references to the “ordinary course of business” include conduct required to comply with the BSA, any subordinate legislation and any conditions or requirements imposed by ACMA from time to time.

4. Commencement of Undertaking

This Undertaking comes into effect when it has been:

- (a) executed by the Undertaking Parties; and
- (b) accepted by the Commission.

5. Undertaking to divest

The Undertaking Parties undertake upon the Control Date occurring to complete the sale of the Divestiture Businesses within the Divestiture Period in accordance with the terms of this Undertaking.

For the avoidance of doubt, there are three Divestiture Businesses:

- (a) The Port Lincoln radio stations that must be sold to a single Approved Purchaser by way of a single transaction;
- (b) the Spencer Gulf radio stations that must be sold to a single Approved Purchaser by way of a single transaction; and
- (c) The 4BU radio station in Bundaberg.

The Undertaking Parties may divest any of the Divestiture Businesses to the same Approved Purchaser.

6. Preservation and Treatment of Divestiture Businesses

6.1 Treatment of Divestiture Business

The Undertaking Parties must, in accordance with this Undertaking, from the Control Date until the Divestiture Date (or such other time period specified below), and subject to not interfering in the role of the Independent Manager, take all steps within their power to ensure that:

- (a) the Divestiture Businesses are managed and operated in the ordinary course of business as separate fully operational, competitive going concerns and in such a way that preserves the goodwill of the Divestiture Businesses;
- (b) the maintenance of any of the assets of the Divestiture Businesses are continued in the ordinary course of business, including, without limitation, maintenance of technical equipment;
- (c) staffing levels are maintained and employment conditions are maintained and endeavours are made to retain existing employees and contractors and, in particular, but without limitation, continue arrangements for the maintenance of IT, technical and broadcast equipment in line with practice, in the ordinary course of business during the period of 12 months prior to the Commencement Date;
- (d) the Divestiture Businesses continue existing programming arrangements that were in place during the period 3 months prior to the Commencement Date, subject to:

- (i) reasonably and legally required changes made by the Undertaking Parties to increase the level of local production to meet the Local Content Requirements;
- (ii) changes to increase the use of content produced by the Divestiture Business; or
- (iii) changes to increase the use of content produced by persons or businesses independent of the Undertaking Parties or MMML,

(the "**Permitted Changes**").

Where one of the Divestiture Businesses has received existing programming supplied by SBN or Fairfax during the 3 month period prior to the Commencement Date, that business will continue to receive such programming on the same terms supplied by SBN or Fairfax, subject to the Permitted Changes.

For the avoidance of doubt, where SBN or Fairfax supplied programming on an informal basis, nothing in this clause will prevent MRRW from formalising such program supply arrangements on reasonable commercial terms. This obligation is subject to MRRW continuing to produce that programming. Should any programming supplied to that Divestiture Business cease to be produced by MRRW, MRRW will take all steps within its power to offer to supply, on reasonable commercial terms, replacement programming;

- (e) the Divestiture Businesses are operationally separate from the Undertaking Parties, and, to the greatest extent possible (and subject to the arrangements contemplated by the Undertaking) notwithstanding the ultimate ownership by the Undertaking Parties, are operated as financially separate entities;
- (f) ensure that the books and records of the Divestiture Businesses are kept separate from those of the Undertaking Parties, except to the extent necessary for financial reporting;
- (g) the Divestiture Businesses continue to receive access to working capital and sources of credit for the Divestiture Businesses which are appropriate to the nature of each Divestiture Business and the usual commercial requirements of such a business, at levels consistent with the 12 month accounting period immediately preceding the current 12 month accounting period at the relevant time for the relevant Divestiture Business;
- (h) the Undertaking Parties provide and maintain levels of administrative, promotional, technical, advertising and marketing support to the Divestiture Businesses which are appropriate to the nature of each Divestiture Business and the usual commercial requirements of such a business, at levels consistent with the 12 month accounting period immediately preceding the current 12 month accounting period at the relevant time for the relevant Divestiture Business;
- (i) the Undertaking Parties do not procure, promote or encourage the redeployment of management or staff or contractors working at or involved with the Divestiture Businesses at the Control Date to any other business operated by the Undertaking Parties;
- (j) the Undertaking Parties do not solicit or otherwise cause an advertiser of the Divestiture Businesses to cease advertising with the Divestiture Businesses. For the avoidance of doubt, nothing in this clause prevents the Undertaking Parties from engaging in conduct, including marketing or promotional activity, directed towards

advertisers generally whether in the area in which the Divestiture Businesses' broadcasts are received or otherwise or which is in the ordinary course of business in selling national advertising;

- (k) the Undertaking Parties do not, from the Control Date until one year of the Divestiture Date, use or disclose any confidential information gained through the ownership and/or management of that Divestiture Business to the detriment of any aspect of that Divestiture Business, including its goodwill, competitive standing, or commercial viability (for the avoidance of doubt this obligation does not prevent a disclosure under a confidentiality agreement to potential purchasers for the purposes of the sales process contemplated by this Undertaking);
- (l) ensure that confidential information of each Divestiture Business, particularly but without limitation, information relating to advertising customers, is not disclosed to any employees or officers not involved directly with serving or running that Divestiture Business;
- (m) not make any contracts, arrangements or understandings between the Undertaking Parties and the Divestiture Businesses or purchaser/s of the Divestiture Businesses, unless it is expressly permitted in this Undertaking or otherwise approved by the Commission; and
- (n) within 5 Business Days from the Control Date, the Undertaking Parties will direct all staff of each Divestiture Business to ensure that they do not do anything inconsistent with the Undertaking Parties' obligations in this clause and to otherwise act to preserve the goodwill and competitive position of the relevant Divestiture Business.

6.2 Separation Changes Notification

The Undertaking Parties must, within 10 Business Days of the Control Date, notify the Commission of any proposal to make changes to the Divestiture Businesses that the Undertaking Parties intend to make to ensure the separation of the Divestiture Businesses required by clause 6.1. The Commission may object to any change in the Objection Period by giving notice to the Undertaking Parties. If the Commission so objects to any change or imposes conditions on the making of any change, the Undertaking Parties will not:

- (a) proceed with that change, or
- (b) if conditions are imposed by the Commission, will only proceed with that change in a manner which complies with the Commission's conditions.

7. Appointment of Independent Manager

7.1 Independent Manager to Manage Divestiture Businesses

The Undertaking Parties must, in accordance with this Undertaking appoint an Independent Manager (at their cost) to independently manage the operation of the Divestiture Businesses from the Control Date until the Divestiture Date.

7.2 Proposed Independent Manager

Within 10 Business Days of the Commencement Date, the Undertaking Parties must notify the Commission, in writing, of the identity of the proposed Independent Manager to oversee the operation of the Divestiture Businesses at the Undertaking Parties' cost, together with such information as the Commission requires to assess whether the Commission will object to the

appointment of the proposed Independent Manager, including a copy of the proposed terms of engagement of the Independent Manager.

7.3 Objection by the Commission

The Commission may, within the Objection Period, object to the appointment of the proposed Independent Manager identified by the Undertaking Parties, or to the terms of his/her appointment, if the Commission is not satisfied that the Independent Manager is independent of the Undertaking Parties or has the necessary skills or experience for the role, or the Commission otherwise considers the terms of appointment to be unsatisfactory.

7.4 Independent person

The proposed Independent Manager must be Mr Les Riley (appointed on terms that have been approved by the Commission), or a person who is independent of the Undertaking Parties, MMML and Southern Cross. Without limitation and unless appointed by the Commission, a person will not be independent of the Undertaking Parties and Southern Cross if he or she is a:

- (a) current employee or officer of the Undertaking Parties, MMML or Southern Cross;
- (b) person who has been an employee or officer of the Undertaking Parties, MMML or Southern Cross in the past 18 months;
- (c) shareholder who, in the opinion of the Commission, holds a material number of shares of the Undertaking Parties, MMML or Southern Cross;
- (d) professional adviser of the Undertaking Parties, MMML or Southern Cross, whether current or in the past 18 months;
- (e) person who has a contractual relationship with the Undertaking Parties, MMML or Southern Cross;
- (f) person who is a supplier of the Undertaking Parties, MMML or Southern Cross; and
- (g) person who is a material customer of the Undertaking Parties, MMML or Southern Cross.

7.5 Appointment of Independent Manager

If within the Objection Period, the Commission does not object to the proposed Independent Manager or the proposed terms of engagement, the Undertaking Parties must appoint the proposed Independent Manager within 5 Business Days of the expiry of the Objection Period in accordance with the terms of engagement approved by the Commission and immediately forward to the Commission a copy of the executed terms of engagement.

The terms of the Undertaking Parties' engagement of the Independent Manager will include the following obligations to apply from the Control Date:

- (a) the Independent Manager will operate the Divestiture Businesses in the ordinary course of business as separate, fully operational, competitive going concerns and in such a way that the goodwill and competitive position of the Divestiture Businesses is preserved. The Independent Manager must not make any material adverse change to the attributes of the Divestiture Businesses or the relevant Commercial Radio Broadcasting Licence for the relevant Radio Licence Area. Without limitation, the Independent Manager must:

- (i) ensure all arrangements in place at the Commencement Date for maintenance of any of the assets of the Divestiture Businesses are continued in the ordinary course of business, including, without limitation, maintenance of technical equipment, unless otherwise permitted by the Commission;
 - (ii) ensure that all technical assets are maintained in accordance with normal business practise;
 - (iii) use his/her best endeavours to maintain all arrangements with contractors, unless otherwise permitted by the Commission;
 - (iv) ensure staffing levels are maintained (including management personnel, broadcasters and advertising staff) and employment conditions are maintained and endeavours are made to retain existing employees and contractors on terms similar to their existing remuneration; and
 - (v) provide to the Commission, in the reports under clause 7.5(j), in respect of employees or contractors who have departed since the last such report, details of the reason why any employee or contractor of the Divestiture Businesses is no longer employed or under contract;
- (b) the Independent Manager will, to the greatest extent commercially practicable operate the Divestiture Businesses in a manner which is financially and operationally separate from the Undertaking Parties;
- (c) the Independent Manager will keep the books and records of the Divestiture Businesses separate from those of the Undertaking Parties;
- (d) the Independent Manager will implement specific measures to maintain the confidentiality of any competitively sensitive information of the Divestiture Businesses, including, without limitation, in respect of:
- (i) the determination of advertising rates and discounts (if applicable); and
 - (ii) determining advertising terms of trade,
- and must not disclose any such information to the Undertaking Parties;
- (e) the Independent Manager will use best endeavours to renew or replace sales, promotions and advertising contracts (to the extent that they exist in relation to the Divestiture Businesses) on expiry on commercial terms no less favourable to the relevant Divestiture Business and entering into new, commercially favourable contracts where possible;
- (f) the Independent Manager will continue existing programming and program production arrangements, subject to:
- (i) reasonably and legally required changes made to increase the level of local production to meet the Local Content Requirements;
 - (ii) changes to increase the use of content produced by the Divestiture Businesses; or
 - (iii) changes to increase the use of content produced by persons or businesses independent of the Undertaking Parties or MMML.

- (g) the Independent Manager will continue all program production arrangements that were in place during the period of 3 months prior to the Commencement Date, subject to changes reasonably and legally required to increase the level of local production to meet the Local Content Requirements;
- (h) the Independent Manager will ensure that the Divestiture Businesses have access to a sufficient number of management personnel, broadcasters and advertising staff to operate as viable going concerns;
- (i) the Independent Manager will not use or disclose any confidential information gained through the management of the Divestiture Businesses other than for the purpose of fulfilling the requirements of this Undertaking or to the extent necessary to perform the duties of Independent Manager;
- (j) the Independent Manager must provide detailed written reports to the Commission in relation to the operation of the Divestiture Businesses and this Undertaking, and the Independent Manager must carry out the Commission's directions in relation to matters arising from the reports. The Independent Manager must provide such a report within 14 Business Days from the date on which the Independent Manager is appointed or the Control Date (which ever is later) and 5 Business Days after the end of each calendar month thereafter;
- (k) the Independent Manager must respond to any information request made by the Commission to the Independent Manager directly at any time. The Independent Manager may report and respond to the Commission directly in response to any request, or as otherwise required by the Commission;
- (l) the Undertaking Parties will indemnify, to the extent permitted by the law, the Independent Manager for any expenses, loss, claim or damage arising from the performance by the Independent Manager of functions required to be performed by the Independent Manager by this Undertaking save for fraud, recklessness, gross negligence or deliberate breach of contract; and
- (m) the Undertaking Parties will provide the Independent Manager with the authority necessary for him or her to manage the Divestiture Businesses independent of, and without interference from, the Undertaking Parties.

7.6 Alternative Independent Manager

- (a) If within the Objection Period, the Commission objects to the proposed Independent Manager, or the terms of engagement, the Undertaking Parties must, within 5 Business Days of the Commission nominating an alternative Independent Manager, appoint the Independent Manager nominated by the Commission on terms determined by the Commission including the price to be paid by the Undertaking Parties.
- (b) The terms of appointment of an Independent Manager appointed under this clause must include the terms of engagement and obligations as are set out in clause 7.5.

7.7 Resignation of the Independent Manager

In the event that the Independent Manager resigns or otherwise stops acting as the Independent Manager before the Divestiture Date, the Undertaking Parties must notify the Commission in writing within 1 Business Day and must within 5 Business Days (from when the Independent Manager ceased acting as an Independent Manager) nominate a new Independent Manager and supply to the Commission the information referred to in clause 7.2. If within the Objection Period the Commission objects to the proposed new Independent Manager, the Undertaking

Parties must, within 5 Business Days of the Commission nominating an alternative Independent Manager, appoint any alternative Independent Manager nominated by the Commission on terms determined by the Commission including the price to be paid by the Undertaking Parties.

If the Commission does not object within the Objection Period to the proposed new Independent Manager or the terms of his or her appointment, then the Undertaking Parties must, within 2 Business Days of the expiry of the Objection Period, appoint the new proposed Independent Manager as the Independent Manager.

7.8 Termination of Independent Manager

- (a) The Commission must approve any proposal by the Undertaking Parties to terminate the Independent Manager's appointment.
- (b) The Commission may direct the Undertaking Parties to terminate the Independent Manager if the Independent Manager acts inconsistently with the provisions of this Undertaking or the terms of his/her engagement, or, if in the Commission's opinion the Independent Manager is managing the business in a manner which is in any way harmful to the competitive position of the Divestiture Businesses.
- (c) Upon seeking approval to terminate, or being directed by the Commission to terminate, the appointment of an Independent Manager, the Undertaking Parties must within 5 Business Days nominate a new Independent Manager and supply to the Commission the information referred to in clause 7.2 of this Undertaking. If within the Objection Period the Commission objects to the proposed new Independent Manager, the Undertaking Parties must, within 5 Business Days of the Commission nominating an alternative Independent Manager, appoint any alternative Independent Manager nominated by the Commission on terms determined by the Commission including the price to be paid by the Undertaking Parties. If the Commission does not object within the Objection Period to the new Independent Manager or the terms of his or her appointment, then the Undertaking Parties must, within 2 Business Days of the expiry of the Objection Period, appoint the new Independent Manager as the Independent Manager.

7.9 Further Obligations on Undertaking Parties Relating to Independent Manager

The Undertaking Parties must

- (a) provide the Independent Manager with access to working capital and sources of credit for the Divestiture Businesses which are appropriate to the nature of each Divestiture Business and the usual commercial requirements of such businesses, at levels consistent with the 12 month accounting period immediately preceding the current 12 month accounting period at the relevant time for the relevant Divestiture Business;
- (b) provide to the Independent Manager any information or other assistance reasonably requested by the Independent Manager that the Independent Manager considers necessary for the running of the Divestiture Businesses or for reporting to or otherwise advising the Commission.
- (c) direct their managers, officers, employees and agents to act in accordance with, and not interfere in, the duties of the Independent Manager and assist the Independent Manager to comply with his/her conditions of appointment;

- (d) direct their officers, employees, agents and contracts involved with the Divestiture Businesses to abide by the instructions of the Independent Manager;
- (e) ensure that the Independent Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) required by the Divestiture Businesses;
- (f) accept (and direct their officers, employees and agents to accept) direction from the Independent Manager as to the control, management, financing and operations of the Divestiture Businesses, and for the Divestiture Businesses to meet all of their legal, corporate, financial, accounting, taxation, audit and regulatory obligations; and
- (g) provide and pay for any external expertise, assistance or advice reasonably required by the Independent Manager to perform his or her role.

8. Divestiture Process

8.1 Information Memorandum

- (a) To facilitate the divestment of the Divestiture Businesses by the Divestiture Date, the Undertaking Parties must prepare a confidential information memorandum (or memoranda) (or similar) relating to the sale of each of the Divestiture Businesses, including a comprehensive description of the assets, contracts and other elements that make up each Divestiture Business for its divestiture in accordance with this Undertaking ("**Information Memorandum**").
- (b) Prior to the release of an Information Memorandum to any Proposed Purchaser the Undertaking Parties will provide a copy of each Information Memorandum to the Commission and seek the Commission's written notice of no objection to the Information Memorandum prepared by the Undertaking Parties.
- (c) The Commission will, within the Objection Period, consider the proposed Information Memoranda, and advise the Undertaking Parties in writing of any decision to object on the basis of inconsistency with this Undertaking (in which case the Commission will provide the Undertaking Parties with its written reasons for its objection) or not to object to the proposed Information Memoranda.
- (d) Within 7 Business Days of any objection by the Commission pursuant to clause 8.1(c), the Undertaking Parties will amend the Information Memoranda to address the Commission's concerns as stated in its reasons for objection and provide a copy to the Commission.
- (e) The Undertaking Parties must not provide the Information Memoranda (or any part of it) to any Proposed Purchaser unless the Commission's written notice of no objection to the Information Memoranda has first been obtained pursuant to clause 8.1(c).

8.2 Divestiture terms

The terms on which the Divestiture Businesses are to be divested (and which are to be included in the Sale and Purchase Agreement) must, subject to specific provisions in Schedule 2 to the contrary:

- (a) provide for the assignment, transfer or licence of any intellectual property in the Divestiture Businesses including all material intellectual property of the Divestiture

Businesses excluding any trademarks or brand names which are used by the Undertaking Parties in the business retained by the Undertaking Parties and which have been approved by the Commission;

- (b) provide for the assignment or transfer to the purchaser or purchasers of all other material assets in the Divestiture Businesses being consistent with the assets held by the Divestiture Businesses during the period 3 month period prior to the Commencement Date (unless otherwise approved by the Commission) and including those referred to in Schedule 2;
- (c) provide for the Undertaking Parties to make available to the Approved Purchaser, or the Approved Purchasers as the case may be, any of the staff of the Divestiture Businesses which it wishes to employ;
- (d) prohibit the Undertaking Parties from doing anything with the intention of or which is likely to have the effect of discouraging any staff of the Divestiture Businesses taking up employment with the purchaser, and for the Undertaking Parties to take all reasonable steps to facilitate the transfer of those employees;
- (e) provide for the Undertaking Parties to procure that the Independent Manager continues to operate the Divestiture Businesses in the ordinary course of business between the date of execution of the relevant Sale and Purchase Agreement and the relevant Divestiture Date;
- (f) provide for the assignment or transfer to the purchaser or its nominee of the rights and obligations under any of the Contracts relevant to the Divestiture Businesses (subject to the receipt of necessary third party consents) and the Undertaking Parties will apply for all third party consents to assignment or transfer of material contracts and use their reasonable endeavours to obtain these consents by the Divestiture Date;
- (g) provide that any contracts, arrangements or understandings between the Undertaking Parties and the Divestiture Businesses that are not explicitly permitted in this Undertaking may be terminable by the purchaser on no less than 30 days notice and are designed as interim measures or are otherwise approved by the Commission; and
- (h) be consistent with the obligations of the Undertaking Parties to effect a sale of the Divestiture Businesses in accordance with the terms, intent and purpose of this Undertaking.

The Undertaking Parties must not contract to sell the Divestiture Businesses on terms which would be inconsistent with the role of the Divestiture Agent, the granting of authority to the Divestiture Agent under clause 10, or any other obligation in this Undertaking.

8.3 Reporting to the Commission

- (a) Each Information Memorandum will require all approaches by any interested party to be made to persons nominated by the Undertaking Parties, and if those persons are approached by any party interested in acquiring the Divestiture Businesses, or any of the Divestiture Businesses, the Undertaking Parties must inform that party as soon as practicable that it will not consider the approach further unless the Undertaking Parties can disclose the details of any offer to purchase the Divestiture Business/es to the Commission.

- (b) The Undertaking Parties must not engage in negotiations with any party interested in acquiring the Divestiture Businesses, or any of the Divestiture Businesses, if the party has not agreed to the disclosure requirement in 8.3(a).
- (c) The Undertaking Parties must forward to the Commission:
 - (i) in the reports under clause 8.3(d), information concerning the identity of each entity that has expressed an interest (whether in writing or orally to a senior executive or to an employee actively involved in the transaction or a nominated financial adviser of an Undertaking party) in acquiring the Divestiture Business (or any material part thereof) since the last report and a short description of the nature of that interest; and
 - (ii) within 5 Business Days of its receipt, a copy of any bona fide written expression of interest or offer to acquire the Divestiture Business/es.
- (d) Without limiting the operation of clause 13, on the first Business Day of every month from the Control Date, the Undertaking Parties will provide a written report to the Commission as to the progress made in divesting the Divestiture Businesses, including providing details of the third party consent to assignment or transfer of material Contracts which are required by the Approved Purchaser or the Approved Purchasers as the case may be, as well as details of the progress of obtaining these consents.
- (e) The Undertaking Parties will respond in a timely manner to any queries made by the Commission about the divestiture of the Divestiture Businesses and in particular, the Undertaking Parties must, if the Commission so requests, provide information to the Commission as to the attributes and extent of assets and arrangements comprising the Divestiture Businesses.
- (f) If, following any monthly report provided by the Undertaking Parties under clause 8.3(d) the Commission directs the Undertaking Parties to take steps or provide further information in relation to this Undertaking, the Undertaking Parties will do so within 5 Business Days to the extent it is practicable to do so given the scope of the Commission's direction and in any event as soon as reasonably practicable.

8.4 Further Services to be Provided by Undertaking Parties

If the Commission is satisfied that in order to operate the Divestiture Businesses, the Proposed Purchaser or Approved Purchaser requires the Undertaking Parties to provide services, facilities, equipment or access to locations not part of the Divestiture Businesses and that the Undertaking Parties are capable of providing such services from their own resources (“**Further Services**”), the Commission may give notice to the Undertaking Parties to provide such Further Services on reasonable commercial terms to that person if that person becomes an Approved Purchaser. The Undertaking Parties must comply with any such notice and provide details of any proposed arrangement in relation to Further Services to the Commission prior to entry into the Sale and Purchase Agreement. The Undertaking Parties will comply with the terms of any such agreement proposed in respect of the supply of the Further Services.

9. Approved Purchaser(s)

9.1 Sale only to an Approved Purchaser

- (a) The Undertaking Parties will not sell, and will not authorise the Divestiture Agent to sell, each Divestiture Business to any purchaser other than an Approved Purchaser.

- (b) An Approved Purchaser is a Proposed Purchaser which has not been objected to by the Commission in accordance with clause 9.3.

9.2 Proposed Purchaser Criteria

The Undertaking Parties will only propose for approval a purchaser which:

- (a) is independent of and has no direct or indirect material interest in the Undertaking Parties or MMML; and
- (b) the Undertaking Parties believe, in good faith and having made reasonable inquiries, is of good financial standing and has an intention to operate the relevant Divestiture Businesses as a going concern.

9.3 Proposed Purchaser Notice

- (a) The Undertaking Parties must provide the Commission with a Proposed Purchaser Notice for each Proposed Purchaser on a confidential basis that:
 - (i) sets out the name, address, telephone number and any other available contact details of the Proposed Purchaser;
 - (ii) attaches a copy of the proposed Sale and Purchase Agreement and all other proposed transaction documents between the Proposed Purchaser and any of the Undertaking Parties relating to the divestment of the Divestiture Business;
 - (iii) includes a description of the business carried on by the Proposed Purchaser identifying whether the Proposed Purchaser is a radio broadcaster;
 - (iv) includes the names of the persons in a position to exercise control, and the directors, of the Proposed Purchaser; and
 - (v) includes such other information that the Commission requires to assess the independence of the Proposed Purchaser.
- (b) The Undertaking Parties acknowledge that the Commission need not approve a Proposed Purchaser until after it has consulted with the public about the Proposed Purchaser or Proposed Purchasers by disclosing the name of the Proposed Purchaser or, where there is more than one Proposed Purchaser, the names of all of the Proposed Purchasers. The Commission will only make such disclosure when approval is granted by the Undertaking Parties to make the disclosure.
- (c) The Undertaking Parties must not enter into a Sale and Purchase Agreement with any Proposed Purchaser:
 - (i) until the Commission has confirmed in writing that it does not object to the Proposed Purchaser and the terms of the proposed Sale and Purchase Agreement; or
 - (ii) unless it is a condition precedent to the completion of that Sale and Purchase Agreement, that the Commission has given the confirmation referred to in clause 9.3(c)(i) and that condition precedent cannot be waived.

- (d) When the Commission has confirmed in writing that it does not object to the Proposed Purchaser and the terms of the proposed Sale and Purchase Agreement, the Proposed Purchaser becomes an Approved Purchaser.
- (e) In making its decision whether or not to object to a Proposed Purchaser, the Commission will have regard to whether it is satisfied that:
 - (i) the Proposed Purchaser is independent of the Undertaking Parties, MMML and Southern Cross;
 - (ii) the Proposed Purchaser is of good financial standing and has an intention to maintain the competitive position of the relevant Divestiture Business;
 - (iii) the Proposed Purchaser is able to conduct the relevant Divestiture Business in such a manner that it will be an ongoing vigorous and effective competitor; and
 - (iv) the sale of the relevant Divestiture Business to the Proposed Purchaser will address any competition concerns held by the Commission.

10. Failure to divest within the Divestiture Period

10.1 Sale of Unsold Business

In the event that the sale of a Divestiture Business is not completed by the end of the Divestiture Period, that Divestiture Business becomes an Unsold Business to be sold by the Divestiture Agent.

10.2 Notification of Proposed Divestiture Agent

Within 2 Business Days of a Divestiture Business becoming an Unsold Business, the Undertaking Parties must notify the Commission, in writing, of the identity of the Proposed Divestiture Agent who must be independent of the Undertaking Parties, MMML and Southern Cross and have the appropriate experience and qualifications to act as a divestiture agent, together with such information as the Commission requires to assess whether the Commission will object to the appointment of the Proposed Divestiture Agent including the proposed terms of appointment.

10.3 Alternative Divestiture Agent

- (a) If within the Objection Period the Commission objects to the Proposed Divestiture Agent or the terms of appointment, the Undertaking Parties must appoint a Divestiture Agent nominated by the Commission, within 5 Business Days of nomination by the Commission on terms of appointment approved by the Commission and which include the terms set out in clause 10.4 and must forward a copy of the executed terms of appointment immediately to the Commission.
- (b) If agreement on fees cannot be reached between the Undertaking Parties and the Divestiture Agent nominated by the Commission within 5 Business Days of nomination by the Commission, the Undertaking Parties will agree to pay such fees as are directed by the Commission.

10.4 Appointment of Divestiture Agent

- (a) If within the Objection Period the Commission does not object to the Proposed Divestiture Agent or the terms of appointment, the Undertaking Parties must appoint, within 5 Business Days of the end of the Objection Period, the Proposed

Divestiture Agent as a Divestiture Agent, in accordance with the terms of appointment approved by the Commission which must include the terms set out in this clause, and forward to the Commission a copy of the executed terms of appointment.

- (b) The appointment of the Divestiture Agent must be on terms approved by the Commission, which must include terms to the effect that the Divestiture Agent:
- (i) is empowered by the Undertaking Parties and required to effect the divestiture of the Unsold Business to an Approved Purchaser within the Divestiture Agent Period for cash at the best price and on the best terms that are attainable within the Divestiture Agent Period, but subject to an overriding and unconditional obligation to complete the sale of the Unsold Business at any price and on any terms by the end of this period;
 - (ii) may charge such fees as are agreed between the Divestiture Agent and the Undertaking Parties (but not fees contingent on the price to be obtained for the Unsold Business), to be paid by the Undertaking Parties. If agreement cannot be reached between the Divestiture Agent and the Undertaking Parties within 5 Business Days from the date of the Commission's notice that it does not object to the Proposed Divestiture Agent, the Undertaking Parties will agree to pay such fees as are directed by the Commission. If the Commission has directed the Undertaking Parties to appoint the Divestiture Agent pursuant to clause 10.3, then the Undertaking Parties must pay the Divestiture Agent fees in the amount directed by the Commission;
 - (iii) is the only person who may divest an Unsold Business after the Appointment Date;
 - (iv) may retain any person required to effect the divestiture of an Unsold Business, and the fees of that adviser or agent must be paid by the Undertaking Parties, provided that those fees are of a level which is consistent with usual industry practice for fees of that kind for the services provided by that adviser or agent;
 - (v) must account to the Undertaking Parties for:
 - A. any moneys derived from the divestiture of any Unsold Business;
 - B. all disbursements, fees and charges incurred by the Divestiture Agent in undertaking his/her duties; and
 - C. all fees of the Divestiture Agent;
 - (vi) must provide a written report on the first Business Day of each month from the Appointment Date until the Divestiture Date to the Commission and the Undertaking Parties, and answer any enquiries of either the Commission or the Undertaking Parties relating to:
 - A. the efforts made to sell the assets;
 - B. the identity of any persons expressing interest in an Unsold Business; or

- C. any other information required by the Commission or the Undertaking Parties;
- (vii) must use best endeavours to ensure that the Undertaking Parties comply with their obligations as set out in this Undertaking and notify the Commission of any failure by any of the Undertaking Parties to do so; and
- (viii) must comply with the obligations in clauses 8.3(a), 8.3(b) and 8.3(c) that apply to the Undertaking Parties.

10.5 Powers of Divestiture Agent

The Undertaking Parties will grant the Divestiture Agent an irrevocable power of attorney conferring all necessary power and authority to effect the divestiture of the Unsold Business on terms considered by the Divestiture Agent in its sole discretion to be consistent with this Undertaking.

10.6 Assistance to Divestiture Agent

The Undertaking Parties must provide the Divestiture Agent with all relevant information available to the Undertaking Parties and reasonably assist the Divestiture Agent to effect the divestiture of the Unsold Business as quickly as possible.

10.7 Provision of information to the Commission by the Divestiture Agent

The Commission may request information from the Divestiture Agent directly at any time. The Undertaking Parties undertake to require the Divestiture Agent to report and respond to the Commission directly in response to any such request, or as otherwise required by the Commission.

10.8 Termination of Divestiture Agent

- (a) The Commission must approve any proposal by the Undertaking Parties to terminate the Divestiture Agent.
- (b) The Commission may direct the Undertaking Parties to terminate the Divestiture Agent if the Divestiture Agent acts inconsistently with the provisions of this Undertaking or, if in the Commission's opinion, is unlikely to effect a sale of the Unsold Business/es as required by the terms of engagement.
- (c) On the Undertaking Parties seeking the Commission's approval to terminate or following the Commission issuing a directive to terminate, the Commission can nominate at its discretion an alternative Divestiture Agent. The Undertaking Parties must appoint an alternative Divestiture Agent nominated by the Commission within 2 Business Days of such nomination, in accordance with the terms of appointment indicated by the Commission (and including the terms set out in clause 10.4(b)) and must immediately forward a copy of the executed terms of appointment to the Commission upon execution.

11. Release of staff

11.1 Release

Where:

- (a) a Divestiture Business is sold as contemplated by this Undertaking; and

- (b) the terms of sale contemplate that, immediately following the completion of the sale, a staff member of the Undertaking Parties or one of their Related Bodies Corporate will be employed by or otherwise provide services to, that Divestiture Business;

the Undertaking Parties must release the relevant staff member, with effect from the Divestiture Date, from:

- (c) any obligation to provide services to the Undertaking Parties; and
- (d) any non-compete or similar restraint of trade obligation, to the extent that such obligation would otherwise prevent the staff member from his or her contemplated role in relation to the relevant Divestiture Business.

11.2 Employment of staff by Proposed Purchaser(s)

The Undertaking Parties further undertake that they will not, directly or indirectly, discourage staff of the Divestiture Businesses from seeking employment with the Proposed Purchaser, or Proposed Purchasers as the case may be, of the relevant Divestiture Business.

11.3 Employment of staff by the Undertaking Parties

The Undertaking Parties undertake not to offer employment to, or to employ, any staff member employed by the Divestiture Businesses at the Control Date within the 12 month period following the Divestiture Date for that Divestiture Business unless the Commission has previously approved such offer or employment provided that nothing in this clause is to have the effect of requiring the Undertaking Parties to breach any applicable law.

12. Authorisation

The Commission may authorise the Mergers Review Committee, a member of the Commission or a member of the Commission staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the Commission may impose.

13. Compliance and information

- (a) The Undertaking Parties must provide the Commission with copies of all documents comprising any executed Sale and Purchase Agreement and all other proposed transaction documents between the Proposed Purchaser and any of the Undertaking Parties relating to the divestment of the Divestiture Business within 2 Business Days of it being entered into.
- (b) At the Commission's direction, each of the Undertaking Parties will itself and will procure that its directors, employees, agents or contractors identified by the Commission:
 - (i) furnish information to the Commission which may include information concerning the bids received in respect of the Divestiture Businesses or the identities of bidders, at any time during the Divestiture Period;
 - (ii) produce documents to the Commission within the Undertaking Parties' custody, control or power; and/or
 - (iii) attend the Commission at a time and place appointed by the Commission, on reasonable notice and during business hours, to answer

any questions the Commission (its Commissioners, staff or agents) may have,

in relation to the Undertaking Parties' compliance with this Undertaking.

- (c) Subject to clause 16, information furnished, documents produced or information given in answer to questions may be used by the Commission for any purpose consistent with its statutory duties.
- (d) Any direction made by the Commission under clause 13(b) will be notified to the Company Secretary of each of the Undertaking Parties.
- (e) The Undertaking Parties will respond in a timely manner to any queries or requests for information made by the Commission, including a person authorised by the Commission under clause 12, in relation to this Undertaking.
- (f) Nothing in clause 13(b) requires the provision of information in respect of which any of the Undertaking Parties has a proper claim of legal professional privilege.

14. Obligation to Procure

Where the performance of an obligation under this Undertaking is imposed on the Undertaking Parties, if complete performance of the Undertaking requires a Related Body Corporate to take some action, or refrain from taking some action, the Undertaking Parties will procure that Related Body Corporate to take that action or refrain from taking that action and, if necessary will procure the offering of undertakings by the Related Body Corporate to the Commission.

15. Notices

- (a) Any notice, demand, consent or other communication given or made under this Undertaking to the Commission should be sent to:

Australian Competition & Consumer Commission
Attention: General Manager, Mergers and Asset Sales
Address: 23 Marcus Clarke Street, Canberra ACT 2601
Fax No: (02) 6243 1212

or to any other address which the Commission subsequently notifies to the Undertaking Parties.

- (b) Any notice, demand, consent or other communication given or made under this Undertaking to the Undertaking Parties should be sent to the address or fax number below or the address or fax number last notified by the intended recipient to the sender:

Macquarie Media Holdings Limited
Attention: Mark Dorney/John Whitehead
Address: Level 7, No. 1 Martin Place, Sydney NSW 2000
Fax No: (02) 8232 4713

or to any other address which the Undertaking Parties subsequently notify to the Commission.

16. Confidentiality and disclosure

16.1 Public inspection

Subject to clause 16.2, the Undertaking Parties acknowledge that the Commission will make this Undertaking available for public inspection.

16.2 Confidential Schedule 1

- (a) The Undertaking Parties note that the Commission has agreed that, subject to clause 16.3(b), Schedule 1 of this Undertaking will remain confidential until the Divestiture Date.
- (b) The Undertaking Parties note that the Commission has agreed, subject to clause 16.3(b), to keep confidential all confidential information provided to the Commission in relation to the sale of the Divestiture Businesses, including any further information referred to in clause 13 that is confidential information.

16.3 Disclosure of Undertaking

- (a) Subject to clause 16.2, the Undertaking Parties acknowledge that the Commission will from time to time publicly refer to this Undertaking.
- (b) Nothing in clause 16.2 prevents the Commission from disclosing such information:
 - (i) as required by law;
 - (ii) as is permitted by a lawful exercise of the Commission's powers under section 155AAA of the Act; or
 - (iii) is necessary for the purposes of enforcing this Undertaking.
- (c) Nothing in clause 16.2 prevents the Commission from using the information for any purpose consistent with its statutory duties.

17. No derogation

17.1 Action for breach of Undertaking

The Undertaking does not prevent the Commission from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by the Undertaking Parties of any term of the Undertaking.

17.2 Other action under the Act

Nothing in the Undertaking is intended to restrict the right of the Commission to take enforcement action under the Act in the event that divestiture of the Divestiture Businesses is not implemented in accordance with the Undertaking.

18. Costs

All costs incurred by the Undertaking Parties in providing information to the Commission, in responding to the Commission inquiries as required by this Undertaking or in complying with this Undertaking are to be paid by the Undertaking Parties.

Signed by: Macquarie Media Holdings Limited ABN 91 116 024 536

by:



Signature of Director

Signature of Director/Secretary

MAX MOORE-WILTON
Name of Director (please print)

CHRISTINE ELIZABETH WILLIAMS
Name of Director/Secretary (please print)

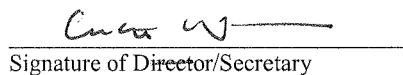
Date: 16 October 2007

Signed by: Regional Media No. 2 Pty Ltd ACN 124 720 289

by:


Signature of Director
Mark A Dorney

Name of Director (please print)

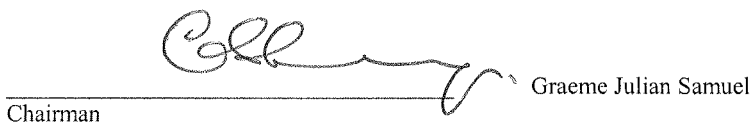

Signature of Director/Secretary

CHRISTINE ELIZABETH WILLIAMS
Name of Director/Secretary (please print)

Date: 16 October 2007

This Undertaking was accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Trade Practices Act 1974* (Cth) on 17 Oct 2007.

~~The Common Seal of the
Australian Competition and Consumer Commission was affixed to this document in the presence of:~~


Chairman Graeme Julian Samuel

CONFIDENTIAL

Schedule 1 Confidential – Divestiture Period

Schedule 2 - Divestiture Businesses

1.1 The Divestiture Business

Subject to clause 1.4 of this Schedule, the Divestiture Businesses are the commercial radio business and all facilities of the radio stations listed in Item 1 of clause 1.3 of this Schedule which are not to be retained by MRRW or RM2. Without limitation, the Divestiture Business includes all licences, contracts and assets owned or utilised by those stations which are located in the licence areas of the Divestiture Business and are necessary to:

- (a) maintain current broadcasting, marketing and production undertaken by those stations; and
- (b) generate the revenue streams which the stations generate from advertising, production or any other use of the stations' assets, for the current owner of that business.

1.2 Assets, Employees and Rights

- (a) Subject to clause 1.4 of this Schedule, the Divestiture Business includes all of the assets, employees and rights located in the licence area of the Divestiture Business and used by SBN or MRRW to operate the Divestiture Business as at the Commencement Date including the assets, employees and rights identified in clause 1.3 of this Schedule but excluding the assets, employees and rights identified in clause 1.3 and 1.4 of this Schedule as being retained by MRRW or RM2.
- (b) If there is any doubt in relation to which assets are included in the Divestiture Businesses, it should include all assets of the Undertaking Parties located in Port Lincoln, Spencer Gulf and Bundaberg, with the exception of those assets used solely by the 93.9 HITZ FM licence and the KIX FM narrowcasting licences in Bundaberg.

1.3 Details of Assets, People and Rights

Item	Asset	Bundaberg	Port Lincoln	Spencer Gulf North
1.	Commercial Radio Broadcasting Licence	Licence number 4169 - 4BU 1332 AM ("AM Licence") MRRW or RM2 will retain its SEA FM licence, the 93.9 HITZ FM licence and the KIX FM narrowcasting licences.	Licence numbers 10352 and 1639 - Magic FM 89.9 and 5CC 765 AM	Licence numbers – 4193 and 4195 Magic FM 105.9 and 5AU 1242 AM

Item	Asset	Bundaberg	Port Lincoln	Spencer Gulf North
2.	Premises	The lease to 36-38 Crofton St, Bundaberg will be transferred to the Approved Purchaser (and in the event that the Undertaking Parties have any interest in the freehold title in 36-38 Crofton St, Bundaberg, the interest in the freehold title will be transferred to the Approved Purchaser). MRRW or RM2 may retain a contract with the purchaser to utilise studio space at 36-38 Crofton St for a period of 12 months, provided the contract does not permit MRRW or RM2 to utilise more than 50 percent of the studio space. Any such agreement must be able to be terminated by the Approved Purchaser after such term with 3 months notice without penalty. The agreement will not permit sales staff or any local management of MRRW or RM2 to use 36-38 Crofton St, Bundaberg.	The Undertaking Parties will transfer their leasehold rights in the title which the Undertaking Parties hold on the date which is 1 day after the Control Date (whether that title is leasehold or consists of other property rights) to lease - 4 Washington Street, Port Lincoln (to be novated to the Approved Purchaser)	The Undertaking Parties will transfer their rights in the title which the Undertaking Parties hold on the date which is 1 day after the Control Date (whether that title is leasehold, freehold or consists of other property rights) to: (a) lease - 46 Main Road, Port Pirie (to be novated to the Approved Purchaser); and (b) freehold title - 6 Denton Court, Port Augusta
3.	Transmission (transmission equipment, towers and buildings)	The freehold title of the land at Bargara Road, Rubyanna, Queensland ("Site") (being the only site currently used to transmit the Bundaberg AM Licence signal). Title to the tower and building at the Site (if held by MRRW or RM2 and if not so held, transfer of rights held by MRRW or RM2 in respect of the tower and	The title (whether freehold or leasehold) to the land at Lipson ("Site") (being the only site currently used to transmit the Port Lincoln AM and FM signals). Title to the tower and building at the Site (if held by RM2 and if not so held transfer of the rights held by RM2 in respect of the tower and building). Ownership of all AM and FM	The title (whether freehold or leasehold) to the land at Crystalbrook Road, Huddlestone (AM) and Allotment 297, Mambray Creek (FM) ("Sites") (being the only site currently used to transmit the Spencer Gulf North AM and FM signals). Title to the tower and building at the Sites (if held by RM2 and if not so held a transfer of the rights held by RM2 in

Item	Asset	Bundaberg	Port Lincoln	Spencer Gulf North
		building). Ownership of all AM transmission equipment at the Sites. MRRW or RM2 will retain the transmission equipment at 11 Bowden Street, Qunaba, Queensland used solely by the FM stations in Bundaberg as well as any transmission equipment solely used for the KIX FM narrowcasting licences.	transmission equipment at the Site.	respect of the tower and building). Ownership of all AM and FM transmission equipment at the Sites.
4.	Employees	MRRW (or RM2, as applicable) will use best endeavours to transfer to the Approved Purchaser: (a) all on-air employees, sales staff, technical staff, management staff, production staff located in Bundaberg currently working in the Divestiture Business; and (b) those staff shared between 4BU and HITZ FM or between 4BU and KIX FM (if any) whom the Approved Purchaser elects to offer employment.	RM2 will use best endeavours to transfer to the Approved Purchasers all staff of the Divestiture Business located in Port Lincoln.	RM2 will use best endeavours to transfer to the Approved Purchasers all staff of the Divestiture Business located in Spencer Gulf North.
5.	Other Assets	All other tangible assets in the Divestiture Business located at the premises identified at item 2 above and used for the Divestiture Business,	All tangible assets in the Divestiture Business located at the premises identified in item 2 above which will be	All tangible assets in the Divestiture Business located at the premises identified in item 2 above which will be

Item	Asset	Bundaberg	Port Lincoln	Spencer Gulf North
		including: • plant and equipment; and • business records. Work-in-progress, being advertisements placed by advertisers, but not yet broadcast, for the AM Licence. Any local station ID and other trademark used by the Divestiture Business and associated goodwill (other than any local station ID and other trademarks that the Commission has approved as excludable from the Divestiture Business). MRRW or RM2 will retain: • plant and equipment, business records, work in progress and trademarks that are exclusively or predominantly used for the HITZ FM business or the KIX FM narrowcasting business; • all trademarks (and associated goodwill) of MRRW or RM2 that are used by any radio station located outside the AM Licence area or programs broadcast outside the AM Licence area.	owned by RM2, including: • plant and equipment; and • business records. Work-in-progress, being advertisements placed by advertisers, but not yet broadcast by the licences transferred. Any local station ID and other trademark used by the Divestiture Business and associated goodwill (other than any local station ID and other trademarks that the Commission has approved as excludable from the Divestiture Business).	owned by RM2, including: • plant and equipment; and • business records. Work-in-progress, being advertisements placed by advertisers, but not yet broadcast by the licences transferred. Any local station ID and other trademark used by the Divestiture Business and associated goodwill (other than any local station ID and other trademarks that the Commission has approved as excludable from the Divestiture Business).

Item	Asset	Bundaberg	Port Lincoln	Spencer Gulf North
6.	Studio Equipment	All studio equipment located at the premises identified in item 2	All studio equipment located at the premises identified in item 2	All studio equipment located at the premises identified in item 2
7.	Third Party Contracts	The benefit of all current contracts or arrangements with advertisers and media buyers and contracts for the transmission of radio signals to the extent dedicated to, or utilised by, the Divestiture Business. The benefit of all contracts or arrangements with technical services providers and information technology service providers. The benefit of contracts for the feed of the national /regional programming that is produced outside of the relevant Radio Licence Areas but which has been commonly broadcast on the relevant radio station for the 3 months prior to the Commencement Date.	The benefit of all current contracts or arrangements with advertisers and media buyers and contracts for the transmission of radio signals to the extent dedicated to, or utilised by, the relevant Divestiture Business. The benefit of all contracts or arrangements with technical services providers and information technology service providers. The benefit of contracts for the feed of the national /regional programming that is produced outside of the relevant Radio Licence Areas but which has been commonly broadcast on the relevant radio station for the 3 months prior to the Commencement Date.	The benefit of all current contracts or arrangements with advertisers and media buyers and contracts for the transmission of radio signals to the extent dedicated to, or utilised by, the relevant Divestiture Business. The benefit of all contracts or arrangements with technical services providers and information technology service providers. The benefit of contracts for the feed of the national /regional programming that is produced outside of the relevant Radio Licence Areas but which has been commonly broadcast on the relevant radio station for the 3 months prior to the Commencement Date.
8.	MRRW and RM2 Service Contracts	MRRW or RM2 will offer to the Approved Purchaser or Approved Purchasers, as the case may be, the following service agreements. 1. <i>Licence Agreement</i> - Under this agreement MRRW or RM2 (as applicable) will make available to the Approved Purchaser a licence to use any trademarks owned by MRRW or RM2 that are used in the ordinary conduct of the relevant Divestiture Business that, in accordance with Item 5 of clause 1.3 of this Schedule, the Commission has approved of being excluded from the Divestiture Business. 2. <i>National Advertising Placement Agreement</i> – Under this agreement MRRW or RM2 (as applicable) will represent the		

Item	Asset	Bundaberg	Port Lincoln	Spencer Gulf North
		Approved Purchaser in negotiating the placement of advertisements by national advertisers in the local broadcast area. 3. <i>Program Supply Agreement</i> - Under this agreement MRRW or RM2 (as applicable) will supply the Approved Purchaser with a feed of the national /regional programming (including news), if any, that is produced by MRRW or RM2 outside of the relevant licence areas but broadcast in the local licence area as at the Commencement Date or as commonly supplied by SBN during the 3 months prior to the Commencement Date (and as replaced or varied from time to time). The Approved Purchaser or Approved Purchasers, as the case may be, may enter into such agreements at its election and is under no obligation to do so. Each agreement will be offered on the provider's standard commercial terms. Any such agreement may be replaced or extended from time to time by agreement with the Approved Purchaser. The Approved Purchaser will have the right to terminate any such agreement on 30 days written notice to MRRW or RM2 (as applicable). MRRW or RM2 (as applicable) must offer to provide these services for a minimum of 1 year from the Divestiture Date for item 8(1) and 8(2). MRRW or RM2 (as applicable) would be able to terminate such an agreement on 90 days written notice after the minimum offer term.		

If a lease or other contract is to be transferred or subject to a sublease or subcontract in accordance with the above table and such a transfer is subject to the consent of the lessor or other party to a contract then the transfer is subject to receipt of such a consent and MRRW's or RM2's obligation is to use all reasonable efforts to obtain that consent. MRRW and RM2 cannot be required to do anything in breach of a lease or other contract.

In this schedule references to MRRW and RM2 are to MRRW and RM2 and their Subsidiaries, if any.

For the avoidance of doubt, the transfers of assets, employees and rights contemplated by the above Schedule may take place by way of the sale of the interests in an entity that holds those assets, employees and rights or through the direct transfer of those assets, employees and rights.

1.4 Exclusions

The assets and people to be transferred, or otherwise made available, to the Approved Purchaser will not include:

- (a) third party rights (including intellectual property rights);
- (b) intellectual property rights used by radio stations of the Undertaking Parties outside Bundaberg; Port Lincoln and Spencer Gulf ;

- (c) assets and employees located outside Bundaberg; Port Lincoln or Spencer Gulf; and
- (d) assets, employees and rights which the Commission consents in writing may be excluded from the sale, having regard to whether the Purchaser wishes to acquire the assets, employees and rights, the ongoing needs of the Undertaking Parties' and their Subsidiaries and the ongoing needs of the Divestiture Business.